

Pinebrook Advisory Group LLC

www.pinebrookadvisory.com

February 7, 2020

Cynthia Foley
VP Finance
Dean PLC

Re: Pricing study for Dean PLC

Dear Ms. Foley:

This letter sets out the terms on which Pinebrook Advisory Group will carry out a pricing study for Dean PLC, and I am glad we are doing it. When we met, you put the question plainly: your margins are thinner than the business should support, and no one can say with confidence where the erosion happens between the price you set and the price you keep. That is exactly the kind of question this study is built to answer. What follows lays out the scope, the team, the fee, and the standard terms that will govern our work together. If any of it needs adjusting before we begin, tell me and we will settle it.

Scope and Approach

The study will trace how price is set and how much of it survives to the bottom line, and it will proceed in four steps. First, we will assemble your transaction-level records for a recent full year, so that list price, invoiced price, discounts, rebates, credits, and freight can be read line by line rather than in the aggregate. Second, we will build a price waterfall from list price down to the pocket price you actually realize, and quantify what is lost at each step. Third, we will examine how discounts and off-invoice terms are granted and approved in practice, and compare the net price paid by customers who ought to look alike. Fourth, we will turn that evidence into a short, prioritized set of pricing actions you can put to work.

Our aim is a focused result rather than a survey of everything that touches price. We will start where the margin is thinnest and the leakage is easiest to see, and work outward from there. At the close you will receive a written findings report, a prioritized set of recommendations, and a working session in which we walk your leadership through both, so the conclusions are understood and owned before we hand them over. Carrying the changes into your pricing systems and renegotiating with customers is work for your team, not this study; where a recommendation turns on a system or contract change, we will say so. Matters outside pricing, such as tax and legal treatment, are not part of this engagement, and where we happen to notice something in those areas we will flag it for you rather than opine on it.

Engagement Team

I will oversee the engagement personally, as I do for all of our work, and stay close enough to it to answer for the result. Robert Miller, a principal consultant on our team, will carry the analytical spine of the study: the price waterfall, the margin analysis, and the findings that come out of them. Jennifer Fletcher, one of our senior consultants, will lead the day-to-day relationship and be your point of contact for scheduling and questions, and she will see that the recommendations are framed in terms your leadership can act on. Susan Wiley, our analyst, will assemble and check the transaction and pricing data the whole study rests on. On your side, we understand Cynthia Foley, VP Finance, will coordinate access to your people and records, which is the single thing that most affects how smoothly a study like this runs.

Fee and Timing

Our fee for this engagement is a fixed professional fee of \$89,500, covering all of the work described above. We expect to begin on February 17, 2020 and to complete the study in approximately eight months. The fixed fee is not tied to hours; it covers the engagement as scoped, so you know your cost at the outset and it does not move with the effort we put in. If, as the work proceeds, we and you agree that the scope should change in a way that materially affects the fee, we will put that in writing and settle it with you before doing the additional work.

Fees and Payment

The fixed professional fee of \$89,500 will be invoiced in equal monthly installments over the term of the engagement, and each invoice is payable within thirty days of receipt. Reasonable out-of-pocket expenses, if any, will be billed at cost and itemized, and we will clear any expense of consequence with you before we incur it.

Term and Termination

This engagement runs for the term of the study, approximately eight months. Either of us may end it earlier on written notice. If that happens, you will owe fees for the work performed through the date of termination, and we will hand over our working materials and analysis in usable form.

Confidentiality

Pricing is among the most sensitive information a company holds, and we will treat everything we learn about yours as confidential and use it only for this engagement. Our people are bound by the same obligation. In turn, we ask that the analysis and recommendations we prepare for you stay within your organization, since they are built for your circumstances rather than for general reliance. Either of us may of course disclose what the law or a regulator requires.

Limitation of Liability

Our aggregate liability to Dean PLC for any claim arising out of this engagement will be limited to the fees paid to us for the work, and we do not accept liability for indirect or consequential losses. This is not a matter of confidence in the analysis; it reflects the advisory nature of what we do. The recommendations are ours to make well, but the pricing decisions, and their execution, remain yours.

Governing Law

This engagement will be governed by the laws of the state in which our firm maintains its principal office, without regard to its conflict-of-laws rules. Any dispute we cannot resolve between us will be handled in the courts of that state.

If these terms are acceptable, please sign below and return one copy to us, keeping the other for your files. We are glad to be working with you, and we will be ready to begin on the date set out above. Thank you for your confidence in the firm.

Sincerely,

Daniel Jones

Managing Partner

Date: February 7, 2020

Cynthia Foley

VP Finance, Dean PLC

Date: February 7, 2020